

nature of agreements. We will explore how smart contracts and tokenization improve transparency within DeFi.

Smart Contracts

Smart contracts provide an immediate benefit in terms of transparency. All parties are aware of the capitalization of their counterparties and, to the extent required, can see how funds will be deployed. They can each read the contract, agree on the terms, and eliminate any ambiguity. This transparency substantially eases the threat of legal burdens and brings peace of mind to smaller players who, in the current environment of traditional finance, could be abused by powerful counterparties through delaying or even completely withholding their end of a financial agreement. Realistically, the average consumer does not understand the contract code but can rely on the open-source nature of the platform, the existence of code audits (discussed later) and the wisdom of the crowd to feel secure. Overall, DeFi mitigates counterparty risk and thus creates a host of efficiencies not present under traditional finance.

DeFi participants are accountable for acting in accordance with the terms of the contracts they use. One mechanism for ensuring the appropriate behavior is *staking*, in which a cryptoasset is escrowed into a contract and released to the appropriate counterparty only after the terms are met or is returned to the original holder. Parties can be required to stake on any claims or interactions they make. Staking